

Accounting Business and Society

WEEK 1

Content

01 Course Induction

02 Key concepts

03 Assessment

04 Tutorial Activity

How this subject is organized in canvas



Overview

Every week, each module has an Overview that gives you an overall study plan for that week.



Pre-Tutorial

The Pre-Tutorial pages contains guided independent learning activities that explain the key concepts.

You must complete all the materials in your own time before Tutorial A.



Tutorials

You have two tutorial classes every week. Tutorial A and tutorial B, each has 1.5 hours long.

Between Tutorials, you will have guided activities that practice and further explore the key concepts.



Post-tutorial

In Reflect & Review, you will consolidate and reflect on learning from the week through guided activities.

Course Content & Teaching Schedules:

Week 1

Introduction to recording accounting information

Recording economic events

Week 2

Adjusting entries & Trial Balance

Week 3

Property, Plants and Equipment(PPE)

Week 4

Receivables

Week 5

Inventory

Week 6

Statement of cash flows

Week 7

Accounting for different business structures

Week 8

Accounting and Ethics

Week 9

Performance measurement and evaluation

Week 10

Sustainability, accounting and Decision making

Key concepts

01 Accounts

02 Financial Statements

03 T-accounts

04 Debit& Credit

05 Business Transactions

06 Effects of business transactions

Key Concepts: Accounts

- An **account** is the record of all the changes in a particular asset, liability, or stockholders' equity during a period.
 - Basic summary device.



Key Concepts: T-Account

The T-Account

- Record of increases and decreases in a specific asset, liability, equity, revenue, or expense
- Left side = “Debit”
- Right side = “Credit”

Cash	
(Left side)	(Right side)
Debit	Credit
Debit = Left side	Credit = side

Key Concepts: Financial Statements

Question	Financial statement	Answer
How well did the company perform during the year?	Income statement	Revenues – <u>Expense</u> Net income or (net loss)
Why did the company's retained earning change during the year?	Statement of retained earnings	Beginning retained earnings + Net Income (-Net Loss) – <u>Dividends declared</u> Ending retained earnings
What Is the company's financial position at year-end?	Balance sheet	Assets = Liabilities + Owners' equity
How much cash did the company generate and spend during the year?	Statement of cash flows	Operating cash flows ± Investing cash flows ± <u>Financial cash flows</u> Increase (decrease) in cash.

Key Concepts: Financial Statements---Order of the Financial Statements



- Income statement
- Statement of retained earnings
- Balance sheet
- Statement of cash flows

Key Concepts: Financial Statements

- The income statement reports revenues and expenses for the period.
 - The bottom line net income (loss) for the period

Net Income

=

Total Revenues
and Gains

-

Total Expenses and
Losses

Exhibit 1-7 The Walt Disney Company, Consolidated Statements of Income

A1					
	A	B	C	D	E
	The Walt Disney Company	Fiscal 2014	Fiscal 2013		
1	Consolidated Statements of Income	12 Months Ended			
2	Adapted, in millions of \$	Sep. 27, 2014	Sep. 28, 2013		
3	Services revenue	\$ 40,246	\$ 37,280		
4	Products revenue	8,567	7,761		
5	Total revenues	48,813	45,041		
6	Cost of services (exclusive of depreciation and amortization)	(21,356)	(20,090)		
7	Cost of products (exclusive of depreciation and amortization)	(5,064)	(4,944)		
8	Selling, general, administrative, and other	(8,565)	(8,365)		
9	Depreciation and amortization	(2,288)	(2,192)		
10	Total costs and expenses	(37,273)	(35,591)		
11	Income from operations	11,540	9,450		
12	Other income (expense), net	706	170		
13	Income before income taxes	12,246	9,620		
14	Income taxes	(4,242)	(2,984)		
15	Net income	8,004	6,636		
16	Less: Net income attributable to noncontrolling interests	(503)	(500)		
17	Net income attributable to The Walt Disney Company (Disney)	\$ 7,501	\$ 6,136		
18					

Key Concepts: Financial Statements

- **Retained Earnings**
 - Portion of net income reinvested into the business
 - Net income increases retained earnings
 - Net losses and dividends decrease retained earnings
 - Net income (net loss) flows from the income statement to the statement of retained earnings

Key Concepts: Financial Statements



Beginning retained earnings
Add: Net income (loss)
Less: Dividends declared____
Ending retained earnings

Exhibit 1-8 The Walt Disney Company, Consolidated Statements of Retained Earnings

A1		
	A	B
1	The Walt Disney Company Consolidated Statements of Retained Earnings For the Two Years Ending September 27, 2014	
2	Adapted, in millions of \$	
3	Retained earnings, Sep. 29, 2012	\$ 42,965
4	Net income attributable to The Walt Disney Company, year ended Sep. 28, 2013	6,136
5	Dividends declared, year ended Sep. 28, 2013	(1,342)
6	Other reductions, year ended Sep. 28, 2013	(1)
7	Retained earnings, Sep. 28, 2013	47,758
8	Net income attributable to The Walt Disney Company, year ended Sep. 27, 2014	7,501
9	Dividends declared, year ended Sep. 27, 2014	(1,525)
10	Retained earnings, Sep. 27, 2014	\$ 53,734
11		

Key Concepts: Financial Statements

Balance Sheet

- Also called the statement of financial position
- Reports three items:
 - Assets
 - Liabilities
 - Stockholders' equity
- Reflects the company's position at a specific moment in time

Exhibit 1-9 The Walt Disney Company, Consolidated Balance Sheets

A1				
	A	B	C	D
1	The Walt Disney Company	Fiscal 2014	Fiscal 2013	
2	Consolidated Balance Sheets			
3	Adapted, in millions of \$	Sep. 27, 2014	Sep. 28, 2013	
4	Current assets:			
5	Cash and cash equivalents	\$ 3,421	\$ 3,931	
6	Receivables	7,822	6,967	
7	Inventories	1,574	1,487	
8	Other current assets	2,359	1,724	
9	Total current assets	15,176	14,109	
10	Film and television costs	5,325	4,783	
11	Investments	2,696	2,849	
12	Parks, resorts, and other property, net	23,332	22,380	
13	Intangible assets	35,315	34,694	
14	Other long-term assets	2,342	2,426	
15	Total assets	\$ 84,186	\$ 81,241	
16	Current liabilities:			
17	Accounts payable and accrued liabilities	\$ 7,595	\$ 6,803	
18	Current portion of long-term borrowings	2,164	1,512	
19	Unearned royalties and other advances	3,533	3,389	
20	Total current liabilities	13,292	11,704	
21	Long-term borrowings	12,676	12,776	
22	Other long-term liabilities	10,040	8,611	
23	Commitments and contingencies (note 14)			
24	Total liabilities	36,008	33,091	
25	Equity:			
26	Common stock and additional paid-in capital	34,301	33,440	
27	Retained earnings	53,734	47,758	
28	Accumulated other comprehensive loss	(1,968)	(1,187)	
29	Treasury stock at cost	(41,109)	(34,582)	
30	Noncontrolling interests	3,220	2,721	
31	Total equity	48,178	48,150	
32	Total liabilities and equity	\$ 84,186	\$ 81,241	

Key Concepts: Financial Statements

- Measures cash receipts and payments
- Three types of activities:
 - **Operating activities:** cash flows from selling goods and services to customers
 - **Investing activities:** cash flows from purchasing and selling long-term assets
 - **Financing activities:** cash flows from borrowing or repaying funds or equity transactions

Exhibit 1-10 The Walt Disney Company, Consolidated Statements of Cash Flows

A1					
	A	B	C	D	E
1	The Walt Disney Company	Fiscal 2014	Fiscal 2013		
2	Consolidated Statements of Cash Flows				
3	Adapted, in Millions of \$	12 Months Ended			
4		Sep. 27, 2014	Sep. 28, 2013		
5	OPERATING ACTIVITIES				
6	Net income	\$ 8,004	\$ 6,636		
7	Adjustments to reconcile net income to net cash provided by operating activities	1,776	2,816		
8	Net cash provided by operating activities	9,780	9,452		
9	INVESTING ACTIVITIES				
10	Investments in parks, resorts, and other property	(3,311)	(2,796)		
11	Sales of investments/proceeds from dispositions	395	479		
12	Acquisitions and other investing activities	(429)	(2,359)		
13	Net cash used in investing activities	(3,345)	(4,676)		
14	FINANCING ACTIVITIES				
15	Net proceeds from borrowing	2,281	1,881		
16	Reductions of borrowings	(1,648)	(1,502)		
17	Repurchases of common stock	(6,527)	(4,087)		
18	Dividends	(1,508)	(1,324)		
19	Proceeds from exercise of stock options and other	692	818		
20	Net cash used in financing activities	(6,710)	(4,214)		
21	Effect of foreign exchange rate fluctuations on cash	(235)	(18)		
22	Net increase (decrease) in cash and cash equivalents	(510)	544		
23	Cash and cash equivalents at beginning of period	3,931	3,387		
24	Cash and cash equivalents at end of period	\$ 3,421	\$ 3,931		
25					
26					

Exhibit 1-11 Relationships among the Financial Statements (in Millions of \$)

	A	B
1	The Walt Disney Company Consolidated Statement of Income (Adapted) 12 Months Ended September 27, 2014	
2	Total revenues	\$ 48,813
3	Total expenses	40,809
4	Net income	8,004
5	Less: Net income attributable to noncontrolling interests	(503)
6	Net income attributable to The Walt Disney Company	\$ 7,501

	A	B
1	Consolidated Statement of Retained Earnings (Adapted)	
2	Beginning retained earnings	\$ 47,758
3	Net income attributable to The Walt Disney Company	7,501
4	Dividends declared*	(1,525)
5	Ending retained earnings	\$ 53,734
6	* Cash dividends \$1,508; stock dividends \$17	

	A	B
1	Consolidated Balance Sheet (Adapted)	
2	Assets	
3	Cash and cash equivalents	\$ 3,421
4	All other assets	80,765
5	Total assets	\$ 84,186
6	Liabilities	
7	Total liabilities	\$ 36,008
8	Equity	
9	Common stock and additional paid-in capital	24,201
10	Retained earnings	53,734
11	Other equity	(5,827)
12	Total equity	48,178
13	Total liabilities and equity	\$ 84,186

Financial Statements – Construction and Analysis

Exhibit 1-11 Relationships among the Financial Statements (in millions of \$)

A		B
1	Consolidated Balance Sheet (Adapted)	
2	Assets	
3	Cash and cash equivalents	\$ 3,421
4	All other assets	80,765
5	Total assets	\$ 84,186
6	Liabilities	
7	Total liabilities	\$ 36,008
8	Equity	
9	Common stock and additional paid-in capital	34,301
10	Retained earnings	53,734
11	Other equity	(39,857)
12	Total equity	48,178
13	Total liabilities and equity	\$ 84,186

A		B
1	Consolidated Statement of Cash Flows (Adapted)	
2	Net cash provided by operating activities	\$ 9,780
3	Net cash used in investing activities	(3,345)
4	Net cash used in financing activities	(6,710)
5	Effect of foreign exchange rate fluctuations on cash	(235)
6	Net increase (decrease) in cash and cash equivalents	(510)
7	Cash and cash equivalents, beginning of year	3,931
8	Cash and cash equivalents, end of year	\$ 3,421

Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 1 learning materials. You may complete this anytime during week1, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.